

EC3008 — Financial Strategy

Winter 2023 Examination · Paper 1 · Full Marking Scheme

Module	EC3008 — Financial Strategy
Internal Examiner	Dr. M. Ryan
Institution	University College Cork
Session	Winter 2023, Paper 1
Duration	1.5 hours
Structure	Section A — Short Questions: attempt 2 of 4 (25% of the paper). Section B — Long Questions: attempt 2 of 2 , both compulsory (75% of the paper). Use separate answer books for each section.
Materials	None specified

Coverage note. This scheme answers **all four** Section A questions in full, plus both compulsory Section B questions.

Consistency with other sittings. The Enterprise Ireland, Section 110/SPV, and Enron-related content on this paper draws on the same underlying facts as the Winter 2024 and Winter 2025 EC3008 schemes, so the three never contradict each other — only the specific question wording, mark weightings, and depth required differ where this paper asks for something more (e.g. three EI avenues here vs. two on other sittings) or more specific (e.g. aircraft leasing SPE structures specifically) than those papers did.

Source basis. A1's IMF definition of an SPE was verified directly against the IMF's own 2022 Technical Notes and Manual (Sanchez-Munoz, Harutyunyan and Hurree Gobin, 2022), since the course pack referenced SPEs generally but not that specific publication. B1(i)(a)'s SAFE findings were verified against the ECB's actual 28th-round report (covering October 2022 to March 2023, published June 2023). B1(ii)'s DeTienne and Cardon (2012) typology was verified against the original paper. B2(ii)

(b)'s aircraft leasing SPE structures were verified against current Irish aviation finance practice. All are flagged at the relevant question.

Section A

Short Questions — attempt 2 of 4 — 25% of the paper — 50 marks per question answered

A1

[50 marks]

With reference to the International Monetary Fund (IMF) 2022 publication titled "Special Purpose Entities (SPE) Guidelines for a Data Template to Collect Separate Information on Cross-Border Positions and Flows of Resident Special Purpose Entities", provide a detailed illustration of the IMF's definition of an SPE.

FULL MODEL ANSWER

The IMF's definition: the IMF Task Force on Special Purpose Entities defines a resident SPE as a **formally registered and/or incorporated legal entity, recognised as an institutional unit**, that has: (i) **no or little employment** (up to a maximum of five employees), (ii) **no or little physical presence**, and (iii) **no or little physical production** in the economy where it is resident. The definition also requires a **control** element for cross-border SPE identification: the entity is directly or indirectly controlled by a **non-resident** parent, where control is defined as ownership of more than 50% of voting power, either directly or through a chain of direct-investment relationships (e.g. company A owning company B, which owns company C, gives A indirect control of C).

Illustration — the SPE typology

Six broad categories: the IMF's underlying 2018 Task Force report organises SPEs into six categories by primary economic activity: **(i) captive financial entities** that are part of a corporate group (the most common type in the euro area); **(ii) specialised financial entities** (e.g. securitisation vehicles); **(iii) non-financial entities** that are part of a corporate group (engaged in royalty/licensing, operational leasing, or merchanting); **(iv) wealth management entities**; **(v) government-owned financial entities**; and **(vi) other structures**.

Why the definition matters — the purpose behind it: because SPEs typically channel cross-border financial flows without corresponding real economic activity (minimal staff, minimal physical footprint), large SPE positions can distort a country's headline foreign direct investment (FDI) statistics — Ireland's own IFSC structures (including Section 110 companies,

see Q. B2) are a leading real-world example of exactly this. The IMF's guidelines exist so national statistical compilers can **separately identify** SPE-driven flows from genuine underlying economic activity, improving the international comparability and transparency of external sector statistics.

EXAM TECHNIQUE

This definition was verified directly against the IMF's own 2022 Technical Notes and Manual (Sanchez-Munoz, Harutyunyan and Hurree Gobin, 2022) named in the question, since the course pack's own SPE material was sourced to a different document (the Powers Report's Enron-specific accounting definition — see Q. B2(iii)). Don't conflate the two: the Powers Report's definition is a US GAAP accounting/consolidation test; the IMF's is a statistical-reporting definition used for balance-of-payments data. They describe related but distinct concepts.

Mark Allocation (50 marks)

Tier	Marks	What separates this tier
38-50	38-50	Correctly states all three defining characteristics (little/no employment, physical presence, physical production) AND the non-resident control criterion AND illustrates with at least two of the six SPE categories AND explains why the definition matters for statistical purposes.
25-37	25-37	Correctly states the core "little or no employment/presence/production" definition with at least one illustrative category, but the control criterion or the statistical purpose is missing.
13-24	13-24	Vague description of an SPE as a "shell company" without the specific defining criteria.
0-12	0-12	No credible definition given, or the Powers Report's accounting definition is presented as if it were the IMF's statistical definition without distinguishing them.

A2

[50 marks]

Illustrate a typical corporate financial reporting environment.

FULL MODEL ANSWER

Framing: a corporate financial reporting environment is the network of participants and flows of information that together produce, verify, and use a company's financial statements — no single participant's output is trustworthy in isolation; the environment's credibility comes from each participant checking or constraining the others.

A Typical Corporate Financial Reporting Environment

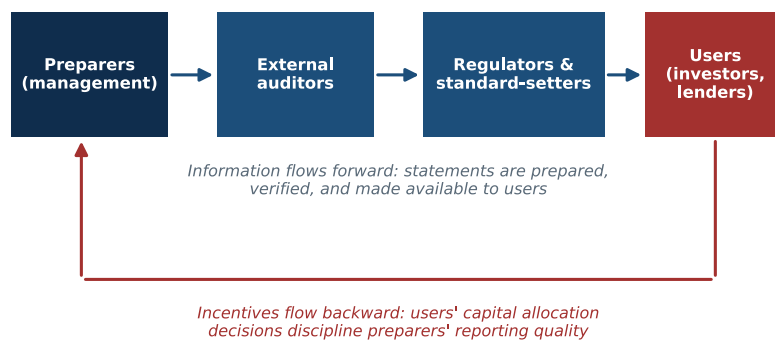


Fig. 1 — A typical corporate financial reporting environment: information flows forward from preparers through auditors and regulators to users, while users' capital allocation decisions discipline preparers' reporting quality in the opposite direction.

Participant	Role	What constrains/checks them
Preparers (management)	Prepare the financial statements from the company's underlying transactions and records	External audit, regulatory oversight, and the threat of a lower share price / higher cost of capital if reporting is judged unreliable
Standard-setters (e.g. IASB for IFRS, FASB for US GAAP)	Set the accounting rules that determine how transactions must be recognised and measured	Public consultation processes, and competition/comparison between rival standard-setting frameworks
External auditors	Independently verify that the statements comply with the relevant standards and fairly present the company's position	Professional liability, audit regulators, and — critically, per the Enron case (see Q. B2(iii)) — the independence of the audit relationship from other paid services
Regulators (e.g. a national Central Bank, a securities regulator, or a stock exchange)	Enforce disclosure and listing rules, and can investigate or sanction non-compliance	Statutory powers and public accountability
Users (investors, lenders, analysts)	Use the resulting statements to price securities, extend credit, and make investment decisions	Their own capital is at risk if they misjudge a company based on its reporting

Illustrating the flow, not just the list: information flows in one direction from preparers through auditors to users, but **incentives** flow in the opposite direction — it's users' capital allocation decisions (and the cost of capital consequences of losing their trust) that ultimately discipline preparers, with auditors and regulators acting as the intermediate checks that make that discipline credible in the first place, rather than relying on users somehow verifying everything themselves. This is the same logic developed in the EC3008 Winter 2024 scheme, Q. A1, on why reliable reporting improves capital market efficiency.

Mark Allocation (50 marks)

Tier	Marks	What separates this tier
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38-50	38-50	At least four distinct participants in the reporting environment correctly identified with their roles AND what constrains or checks each one AND the overall information/incentive flow between them is explained, not just listed.
25-37	25-37	At least three participants correctly identified with roles, but the checks/constraints on each, or the overall flow between them, is not explained.
13-24	13-24	Only preparers and auditors mentioned, or participants listed without roles.
0-12	0-12	No credible illustration given.

A3**[50 marks]**

With reference to the in-class November 2023 guest speaker Anna-Marie Turley from Enterprise Ireland, examine **three** financing avenues that Enterprise Ireland offers to start-up businesses in Ireland.

FULL MODEL ANSWER

Framing: Enterprise Ireland (EI) is the Irish government agency responsible for supporting the development of Irish-owned businesses, and runs several distinct, non-mutually-exclusive equity funding programmes aimed at different stages of a start-up's growth.

Programme	Stage / purpose	Structure
High Potential Start-Up (HPSU)	EI's most consistent programme — for start-ups with the potential for significant job creation and export sales	Equity investment, sized to the business's funding needs and growth stage
Competitive Start Fund (CSF)	Earlier-stage seed funding, awarded competitively	€50,000 equity investment (discontinued after 2022, per EI's own published programme data)
Pre-Seed Start Fund (PSSF)	Newer early-stage programme introduced to fill the gap left by CSF	€50,000 or €100,000 equity investment

Three avenues examined: the **HPSU programme** is EI's flagship equity vehicle: rather than a fixed grant amount, it sizes an equity investment to a start-up judged to have genuine potential for significant job creation and export sales. The **Competitive Start Fund** targeted the earliest, pre-traction stage with a standardised €50,000 equity cheque awarded competitively, before being discontinued. The **Pre-Seed Start Fund** was introduced to fill

exactly the gap CSF's discontinuation left, offering €50,000 or €100,000 at the same early stage. Together the three map a start-up's likely funding journey: PSSF (or, historically, CSF) to get an idea to the point of demonstrable traction, then HPSU once the business can show the job-creation and export potential EI's flagship programme specifically looks for.

EXAM TECHNIQUE

EI's programme names and structures are drawn from the module's own assigned reading on EI supports for entrepreneurs, since specific detail from the November 2023 guest lecture itself wasn't in the uploaded material. If a different set of three avenues was emphasised in that specific talk (e.g. a loan-based instrument alongside the equity programmes above), use that set instead — the analytical structure transfers regardless of which three programmes you pick.

Mark Allocation (50 marks)

Tier	Marks	What separates this tier
38-50	38-50	Three distinct, correctly-named EI funding avenues examined AND each correctly described in terms of stage/purpose and funding structure AND how the three relate to each other across a start-up's funding journey is explained.
25-37	25-37	Three avenues named and broadly correctly described, but the relationship between them is not explained.
13-24	13-24	Only one or two avenues correctly described in any detail.
0-12	0-12	No specific EI avenues correctly named or described.

A4

[50 marks]

List and briefly describe **two** types of real options that a company can utilize in its decision-making process for a new project.

FULL MODEL ANSWER

Framing: a real option gives management the right, but not the obligation, to take some future action on a physical ("real") investment — expand it, abandon it, delay it — as new information arrives, which is exactly the kind of managerial flexibility a simple, one-shot NPV calculation doesn't capture on its own.

- **Option to expand:** the right to scale up an investment beyond its initial size if conditions turn out favourably — e.g. building a factory with the physical capacity for a second production line that is only actually built if early demand justifies it. This option is valuable precisely because it lets the company capture upside from good outcomes without having committed the extra capital upfront in case the outcome had been bad.

- **Option to abandon:** the right to exit a project early — selling off the assets or discontinuing operations — if it performs worse than expected, capping the downside rather than being locked into a fixed multi-year commitment regardless of how conditions develop. This is often the most valuable real option for a project facing genuinely uncertain demand, since it directly limits how bad the worst-case outcome can get.

EXAM TECHNIQUE

Other creditable answers include the **option to delay/defer** (waiting for more information before committing capital at all) and the **option to switch** (changing inputs or outputs in response to relative price changes) — any two real options, correctly described with the flexibility they provide clearly explained, earn full marks. This content follows the standard corporate-finance treatment (Brealey, Myers & Allen — the module's own core reference) since it wasn't set out in dedicated lecture slides in the uploaded material.

Mark Allocation (50 marks)

Tier	Marks	What separates this tier
38-50	38-50	Two distinct real options correctly named AND each correctly described in terms of the specific flexibility (upside capture or downside protection) it provides AND at least one concrete illustrative example given.
25-37	25-37	Two real options correctly named with broadly correct descriptions, but no illustrative example given for either.
13-24	13-24	Only one real option correctly described, or both are named without any explanation of the flexibility involved.
0-12	0-12	No credible real options given, or "real option" is confused with a financial option contract.

Section B · Question 1

SME access to finance and entrepreneurial exit strategies — 50 marks — compulsory

B1(i)

[20 marks]

(a) The 2023 European Central Bank's 28th round of the Survey on the Access to Finance of Enterprises (SAFE), along with previous SAFE reports, provides insights into the financial landscape for euro-area enterprises. Summarise key findings from these reports regarding bank loans and credit line access. (b) Discuss the challenges faced by Irish SMEs in raising finance at all stages of firm start-up and growth. In your answer, refer to relevant theories and concepts including pecking order theory and agency theory.

B1(ii)

[30 marks]

Irish Small and Medium-sized Enterprises (SMEs) often encounter difficulties in securing financing throughout various phases of their business lifecycle. This financial challenge may influence the decision of some entrepreneurs to exit their ventures prematurely. According to DeTienne and Cardon (2012), entrepreneurial exit strategies can be categorized into three main types: financial harvest, stewardship, and voluntary cessation. (a) Define and differentiate between the three entrepreneurial exit strategies outlined by DeTienne and Cardon (2012). (b) Examine the role of mergers and acquisitions as an exit strategy for SMEs. (c) Discuss how these exit strategies might relate to the early exit decisions of some Irish SMEs. Provide examples to illustrate how financial constraints can influence the choice of a particular exit strategy.

FULL MODEL ANSWER

(i)(a) Key SAFE findings on bank loans and credit line access: the 28th round of the SAFE survey (covering October 2022–March 2023, the round specifically named in the question) found that euro-area firms' demand for external financing was **cooling** across the board: a net 4% of firms reported higher demand for bank loans, down sharply from a net 9% in the previous round, while a net 13% reported higher demand for credit lines, down from 16%. This slowdown in demand was consistent with a parallel slowdown in actual bank lending to firms over the same period, and with the tightening of credit standards reported independently in the ECB's Bank Lending Survey. Looking forward, firms surveyed **expected a further decline** in the availability of both bank loans and credit lines — a pessimism that reflected the broader rising-interest-rate environment of 2022–23, in which banks were simultaneously raising the cost of borrowing and tightening non-price terms and conditions (collateral requirements, loan size, covenants).

EXAM TECHNIQUE

These figures were verified directly against the ECB's own published 28th-round SAFE report, since the specific round named in the question wasn't reproduced in the uploaded course pack. If a different SAFE round's figures were emphasised in lectures, use those instead — what's being tested is whether you can correctly summarise a named survey's actual findings, not memorise this specific round's numbers verbatim.

(i)(b) Challenges for Irish SMEs, through Pecking Order and Agency Theory: both theories point to the same underlying problem — **information asymmetry** — but manifesting differently at different points in an Irish SME's lifecycle.

- **Start-up stage — acute information asymmetry, Pecking Order's equity gap:** a young firm has no track record for lenders or investors to evaluate, and often no collateral (especially IP-heavy or service businesses). Pecking Order Theory predicts firms use internal funds first — but a genuine start-up usually has none, forcing it either toward expensive, hard-to-access external debt or, per the theory's own "last resort" ranking, toward equity it may not want to give up so early.
- **Growth stage — Agency Theory's monitoring and moral hazard costs:** once a lender or investor is involved, Agency Theory's classic principal-agent problem applies — the SME's owner-manager knows more about the true riskiness of the business's growth plans than an outside financier does, creating moral hazard (an incentive to take on riskier growth bets with someone else's money) that lenders price into higher interest rates or tighter covenants, or simply ration credit rather than price it at all (see the SAFE findings on tightening collateral requirements above).
- **Later/expansion stage — the same asymmetry, larger stakes:** as the

financing need grows large enough to require external capital markets rather than a single bank relationship or investor, the lemon-premium logic from Pecking Order Theory (see the EC3008 Winter 2025 scheme, Q. B1(b)–(c)) becomes directly relevant — external investors price in a discount for what they can't verify, which is proportionally more costly for a smaller, less-covered Irish SME than for a large, well-followed company.

Mark Allocation — Part (i) (20 marks)

Tier	Marks	What separates this tier
15-20	15-20	SAFE findings correctly summarised with at least the direction of change in loan/credit-line demand and the forward-looking expectation AND both Pecking Order and Agency Theory correctly applied to distinct stages of an Irish SME's lifecycle, not just defined in the abstract.
10-14	10-14	SAFE findings summarised in general terms (tightening conditions) without specific figures, and both theories named with a correct general mechanism but not tied to specific lifecycle stages.
5-9	5-9	Only one of the SAFE summary or the theoretical discussion is credible.
0-4	0-4	Neither part answered credibly.

(ii)(a) The three exit strategies (DeTienne and Cardon, 2012): the typology classifies entrepreneurial exit by what happens to the venture and what the founder is optimising for.

Strategy	Definition	Typical routes
Financial harvest	The founder maximises the financial return extracted from the venture, typically by selling the business to a third party	IPO, acquisition by another firm, management buy-in
Stewardship	The founder prioritises the venture's continuity and legacy over maximising their own financial return, often keeping it within a trusted circle	Family succession, employee buyout, sale to a known individual
Voluntary cessation	The founder winds the venture down rather than transferring it to anyone else	Liquidation, discontinuance of trading

The key differentiator: financial harvest and stewardship both involve **transferring** the business to someone else, but differ in whether the transfer is optimised for financial return (harvest) or for preserving the business's character and relationships (stewardship); voluntary cessation is different in kind, since there's no transfer at all — the venture simply ends.

(ii)(b) M&A as an SME exit strategy: a trade sale or acquisition sits squarely within the **financial harvest** category above, and is often the most realistic harvest route for an SME specifically, since an IPO requires a scale of operations and public-market readiness most SMEs never reach. From the acquirer's side, buying an SME can be attractive precisely for the reasons discussed in Q. A4's real options and the EC3008 Winter 2024/25 scheme's Microsoft/Activision analysis — operating synergies, IP or customer-base acquisition, and eliminating a competitor — while for the SME's founder, it converts an illiquid, concentrated personal investment in the business into diversifiable cash or acquirer equity, which is often the single largest driver of an SME owner accepting a sale even at a valuation below what continued independent operation might eventually yield.

(ii)(c) Financial constraints and early-exit decisions among Irish

SMEs: the financing challenges discussed in Part (i) don't just limit growth — they can directly determine *which* exit strategy a constrained founder ends up choosing, often earlier than they would otherwise prefer.

- **Financial harvest chosen out of necessity, not just opportunity:** a founder facing a persistent equity/credit gap (see Part (i)) may accept an early acquisition offer they would have preferred to decline at a later, higher valuation, simply because continued independent financing isn't reliably available — turning what looks like an opportunistic harvest exit into a financially constrained one.
- **Stewardship as the lower-cost route when external capital is scarce:** family succession or an employee buyout typically requires far less new external financing than a trade sale process or IPO — for a financially constrained Irish SME, stewardship can be the exit strategy that is actually *executable* given limited access to deal-financing, rather than the founder's first preference on other grounds.
- **Voluntary cessation as the default when neither transfer route is financeable:** where a business has real operational viability but neither a buyer's financing nor a successor's financing can be arranged, liquidation can become the outcome not because the underlying business lacks value, but because financial constraints eliminated the two transfer-based alternatives — precisely the kind of premature, financially-driven exit the question's framing points to.

Mark Allocation — Part (ii) (30 marks)

Tier	Marks	What separates this tier
23-30	23-30	All three exit strategies correctly defined and differentiated AND M&A correctly positioned within financial harvest with a reasoned account of its appeal to both sides AND at least two of the three strategies linked specifically to financially-constrained early exit, not just described in general.
15-22	15-22	All three strategies correctly defined, and M&A's role explained, but the financial-constraint linkage in part (c) is generic rather than tied to specific strategies.
8-14	8-14	Only two of the three exit strategies correctly defined, or M&A's role not clearly connected to financial harvest.
0-7	0-7	No credible definitions given for the three exit strategies.

Question B1 Total: 50 Marks

Section B · Question 2

SPVs, securitization, aircraft leasing, and the Enron case — 50 marks — compulsory

B2(i)

[10 marks]

In the context of Ireland's financial system, explain the role of Special Purpose Vehicles (SPVs) and their connection to the shadow banking sector.

B2(ii)

[20 marks]

John, a financial analyst, is reviewing the process of securitization and the role of Special Purpose Vehicles (SPVs) in this process. (a) Explain the primary purpose of an SPV in securitization. Describe two key advantages of using an SPV in the securitization process. (b) List and explain three common SPE setups used in Ireland for aircraft leasing.

B2(iii)

[20 marks]

With reference to Enron's financial and accounting strategy: (a) Describe the concept of mark-to-market accounting and how Enron implemented this approach. (b) Critically evaluate whether Enron's practices and subsequent downfall can be regarded as an anomaly or a systemic issue.

FULL MODEL ANSWER

The role of SPVs in Ireland's financial system: an SPV is a legally separate entity created to hold and manage a defined set of assets, isolated from the insolvency risk of whichever bank, lender, or corporate sponsor originated those assets. In Ireland specifically, SPVs are overwhelmingly structured as **Section 110 companies** — Irish tax-resident vehicles that achieve tax neutrality via profit-participating notes, allowing them to hold securitised loan pools, aircraft, or other financial assets without an additional layer of Irish tax eroding returns to the ultimate investors.

Connection to shadow banking: SPVs are a core building block of **shadow banking** — credit intermediation carried out by entities that borrow or raise funds and invest or lend them onward, in ways economically similar to traditional bank lending, but sitting outside bank capital and liquidity regulation. An Irish Section 110 SPV that pools loans and issues asset-backed notes is, functionally, performing exactly the same credit intermediation a bank would — without holding a banking licence, taking insured deposits, or being bound by bank capital requirements — which is precisely why Ireland's SPV sector, overwhelmingly captured in Section 110 and related vehicles, is one of the largest shadow banking hubs in the EU by assets under management relative to the size of the domestic economy.

Mark Allocation — Part (i) (10 marks)

Tier	Marks	What separates this tier
8-10	8-10	SPV's role as an insolvency-remote, tax-neutral holding vehicle correctly explained AND the shadow-banking connection correctly explained as unregulated credit intermediation, not just asserted.
5-7	5-7	SPV's role explained but the shadow-banking connection is only asserted ("SPVs are part of shadow banking") without explaining why.
2-4	2-4	Vague description of an SPV without a credible shadow-banking connection.
0-1	0-1	No credible answer given.

(ii)(a) The primary purpose of an SPV in securitization: to **legally**

isolate a pool of assets — and the cash flows they generate — from the originating bank's own balance sheet and insolvency risk, so that investors buying notes issued against that pool are exposed only to the pool's own credit performance, not to the originator's broader financial health.

- **Advantage 1 — bankruptcy remoteness:** if the originating bank or sponsor later fails, the SPV's assets are ring-fenced from that insolvency, protecting noteholders' claims on the underlying pool — this is what makes the notes an attractive, cleanly-priced investment independent of the originator's own credit risk.
- **Advantage 2 — balance-sheet and capital efficiency for the originator:** moving the asset pool off the originating bank's own balance sheet frees up regulatory capital that would otherwise be held against those assets, letting the originator recycle capital into new lending rather than holding the original loans to maturity — the originate-to-distribute logic discussed in the EC3005 Winter 2025 scheme, Q. A2(a).

(ii)(b) Three common Irish aircraft leasing SPE setups

- **On-balance-sheet, wholly-owned SPV:** the airline or leasing company itself directly owns and consolidates the SPV, which holds title to one or more aircraft — simplest to set up, but the aircraft's financing shows up on the parent's own consolidated balance sheet and offers no insolvency protection from the parent's own financial troubles.
- **Off-balance-sheet "orphan" SPV:** the SPV's shares are held not by the lessor, airline, or lender but by an independent charitable or purpose trust administered by a professional corporate trustee, with independent professional directors — this achieves genuine bankruptcy remoteness and keeps the aircraft and its financing off every transacting party's own balance sheet, which is the dominant structure in Irish-managed aircraft finance specifically because of Ireland's deep bench of aviation-specialist trustees and independent directors.
- **Section 110 securitisation/ABS SPV:** multiple aircraft (or aircraft-leasing receivables) are pooled into a single Section 110-qualifying vehicle that issues asset-backed notes to capital-markets investors — combining the orphan structure's bankruptcy remoteness with Section 110's tax-neutral treatment of the profit-participating interest paid to noteholders, letting rental income flow through to international investors largely untaxed at the Irish vehicle level.

EXAM TECHNIQUE

The specific structural detail here (orphan trust mechanics, the on-balance-sheet vs. off-balance-sheet distinction) was verified against current Irish aviation finance practice, since the course pack referenced aircraft leasing as a Section 110 use case without setting out the specific structures. All three are standard, well-established setups in Dublin's aviation finance industry.

Mark Allocation — Part (ii) (20 marks)

Tier	Marks	What separates this tier
15-20	15-20	SPV's isolation purpose correctly explained AND two distinct, correctly-reasoned advantages given AND three distinct, correctly-described aircraft-leasing SPE structures given.
10-14	10-14	Purpose and advantages correctly given, but only one or two aircraft leasing structures correctly described.
5-9	5-9	Purpose given without clear advantages, and aircraft leasing structures vague or generic.
0-4	0-4	No credible answer to either part.

(iii)(a) Mark-to-market accounting and Enron's implementation: mark-

to-market (MTM) accounting values a position at its **current estimated fair value** rather than its original (historical) cost, recognising unrealised gains or losses as they occur rather than only when an asset is actually sold. It is a legitimate, standard approach for genuinely liquid, actively-traded positions where an observable market price exists.

Enron's implementation and its problem: Enron adopted MTM for its trading business in the 1990s and then progressively extended it to **long-term, illiquid contracts** — multi-year energy delivery contracts and stakes in SPE partnerships such as the Raptors (see the EC3008 Winter 2024/25 scheme, Q. B2(b)) — where no observable market price existed at all. Enron instead used its own internal models and assumptions to estimate fair value, letting it book the entire estimated future value of a multi-year deal as **current-period earnings immediately** upon signing, rather than as the cash was actually realised over the life of the contract. Because Enron itself controlled the assumptions behind those valuations, and its external auditor did not adequately challenge them, MTM became a mechanism for reporting earnings largely disconnected from the company's actual cash generation.

Both — an idiosyncratic failure enabled by systemic weaknesses.

The case for "anomaly": several elements of Enron's collapse were specific to the individuals involved — Andrew Fastow's personally conflicted dual role running SPEs that transacted with his own employer, under a personally-granted code-of-conduct waiver, is not a structural feature of how companies or auditors normally operate; it required a specific, unusual governance failure (the board granting that waiver at all) that most companies simply don't replicate.

The case for "systemic": the enabling conditions were not unique to Enron. **Auditor independence** was compromised industry-wide by the common practice of audit firms also selling lucrative consulting services to the same clients they audited (Arthur Andersen's dual role); **off-balance-sheet accounting rules** themselves — the 3% independent-equity threshold that Chewco violated — were a general feature of the accounting standards of the time, not an Enron-specific loophole, and were exploited (to varying degrees) elsewhere; and Enron's collapse was quickly followed by comparable accounting-fraud failures at other major US companies in the same period (most notably WorldCom in 2002), which is itself strong evidence the underlying vulnerabilities were shared across the market rather than unique to Enron. The definitive real-world verdict on this question is that regulators judged it systemic: the U.S. response was not a narrow, Enron-specific sanction but the **Sarbanes-Oxley Act of 2002** — a sweeping, economy-wide reform mandating CEO/CFO personal certification of financial statements, creating the PCAOB to oversee auditors, restricting auditors from providing certain non-audit consulting services to the same client, and strengthening internal control and whistleblower-protection requirements for every US public company, not just Enron.

Reconciling the two: the most defensible verdict is that Enron's *specific* fraud (the particular SPE structures, the particular conflicted individuals) was somewhat idiosyncratic, but it was *enabled* by systemic weaknesses in auditor independence and off-balance-sheet accounting rules that were shared across the market — which is exactly why the regulatory response was systemic (an industry-wide law) rather than a narrow, company-specific sanction.

A strong answer takes a side and defends it with specific evidence — simply asserting "it was probably both" without the reasoning above is a weaker answer than a clearly argued case for either "anomaly" or "systemic" alone, provided that case engages with the counter-evidence (e.g. an "anomaly" argument should still explain why Sarbanes-Oxley was written as broad, industry-wide legislation rather than an Enron-specific rule).

Mark Allocation — Part (iii) (20 marks)

Tier	Marks	What separates this tier
15-20	15-20	MTM correctly defined AND Enron's specific misapplication (long-term/illiquid contracts, self-generated valuations) correctly explained AND a clear, well-evidenced verdict given on anomaly vs. systemic, engaging with evidence on both sides (e.g. Sarbanes-Oxley, WorldCom, or the shared 3% rule).
10-14	10-14	MTM and Enron's misapplication correctly explained, but the anomaly/systemic evaluation is asserted without specific supporting evidence.
5-9	5-9	MTM correctly defined in general but not clearly connected to Enron's specific implementation.
0-4	0-4	MTM not correctly defined, or no credible evaluation given.

Question B2 Total: 50 Marks